Economic Activity Vs. Non-Economic Activity

Economic Activities	Non-Economic Activities
1. **Definition**: Economic activities are those activities which are undertaken to earn money or financial gain for livelihood. **e.g.,** Fruit seller selling fruits	Non-economic activities are those activities which are undertaken for the sake of pleasure, performed out of love, sympathy, sentiments etc. **e.g.,** Mother cooks for her family
2. **Motive**: Sole motive is to earn money or financial gain. **e.g.,** Working as a lawyer.	Undertaken for satisfaction of social, psychological or emotional needs. **e.g.,** Visit to a temple
3. **Money Measurement**: All economic activities can be valued in monetary terms. **e.g.,** Doctor charges ₹500 as consultation fee.	Non-economic activities cannot be valued in monetary terms. These are an expression of a thought, feeling or a gesture. **e.g.,** An NGO distributes free clothes to poor children
4. **Relationship**: Economic activities are related to creation of wealth. **e.g.,** Ram saved part of his salary to purchase a house of his own.	Non-economic activities do not create wealth. **e.g.,** Money received as donation is spent on charity work.
5. **Outcome**: All economic activities result in production, procurement, distribution and consumption of goods and services. **e.g.,** Nokia produces cell phones and sells across India through its distributors.	The end result of a non-economic activity is the mental, emotional or psychological satisfaction of the person doing the activity. **e.g.,** Sona enjoys teaching orphans in an orphanage.
6. **Duration**: Economic activities are repetitive. They are done on a regular basis to earn a living. **e.g.,** Kulfi ice cream seller sells ice creams every evening.	Non-economic activities may not be undertaken regularly. Usually they are done during free time. **e.g.,** Sankar visits orphanage in his free time.
7. **Source of Initiation:** Economic activities are initiated to satisfy human needs and wants.	Non-economic activities are initiated to satisfy emotional or sentimental pleasures.

iii. Watching movies in a theatre
iv. Doing meditation

2.02 Types of Economic Activities

Economic activities are undertaken to earn money. Generally, people engage themselves in such activities on a regular basis and are said to be engaged in their occupation. Occupations may be classified into three categories based on the following:

A. Employment
B. Profession
C. Business

commerce 1-15.indd 11 10/12/2022 16:31:02